

FRESHMART RETAIL INTELLIGENCE SYSTEM

Executive Business Report

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Date: May 2026

Classification: Confidential – Executive Distribution

Period: Full Historical Dataset (3.4M orders, 206K customers)

1. Executive Summary

FreshMart has achieved meaningful scale 3.4 million orders, 206,000 customers, and 49,677 SKUs but the data reveals a clear pattern: **operational complexity is outpacing commercial return.**

The Bottom Line

Metric	Current	Opportunity
Annual waste (inefficiency)	₹38–55 Cr	Recoverable
Untapped revenue potential	₹100–140 Cr	Actionable
Net Year 1 impact	–	₹135–192 Cr
Investment required	–	₹3.5–4.5 Cr
ROI	–	30–55x
Payback period	–	10–14 days

Three Core Problems

- SKU bloat** – 50% of products generate fewer than 20 orders total. Thousands of products cost more to maintain than they earn.
- No retention engine** – 11.6% of customers are "occasional" (high churn), yet no program exists to win them back.

3. **Demand and basket inefficiency** – Sunday orders are 38% higher than Wednesday, but staffing is flat. Basket size is 10 items; data shows it should be 12+.

2. Business Problem

From the CEO's perspective:

"We are growing, but we don't understand where revenue is coming from, why costs are increasing, why customers are dropping, why delivery is inefficient, or which products actually matter."

This report answers those five questions with **data, not opinions**.

3. Key Findings

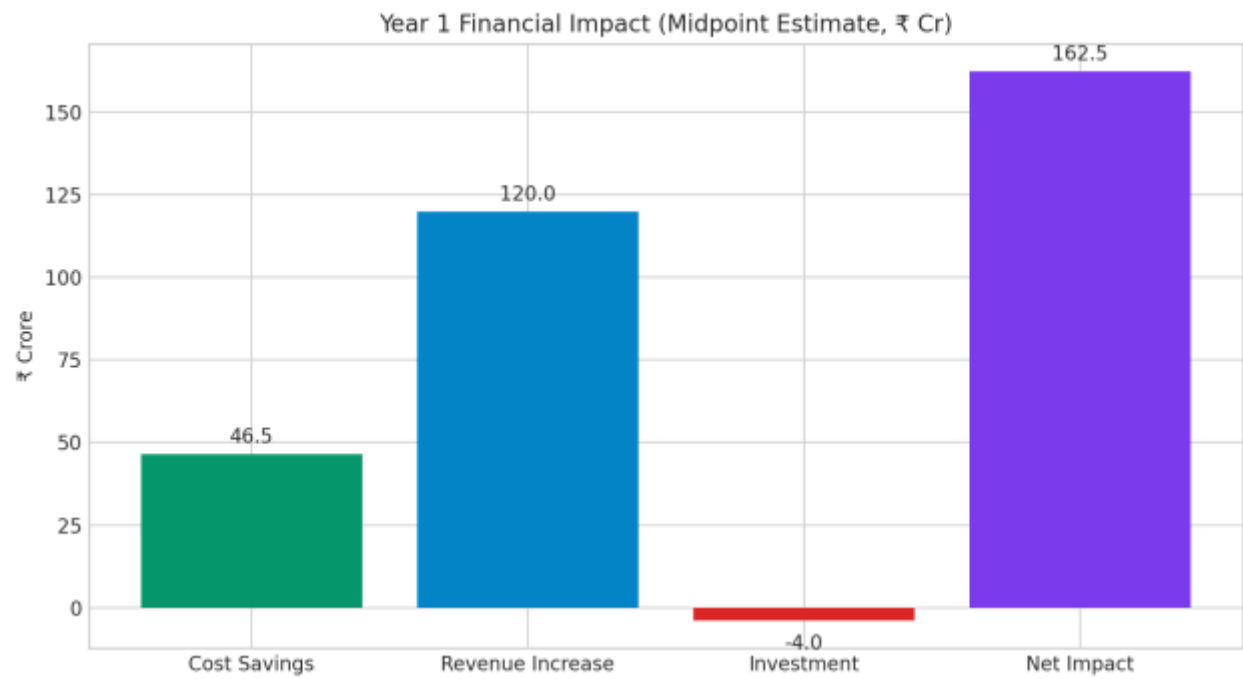
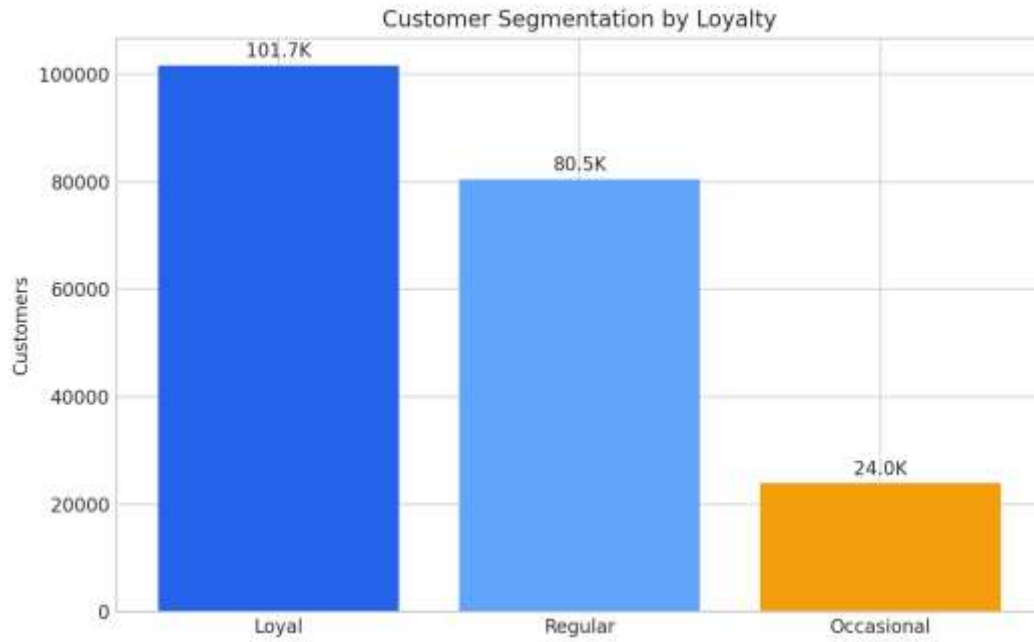
Finding 1: Revenue is dangerously concentrated

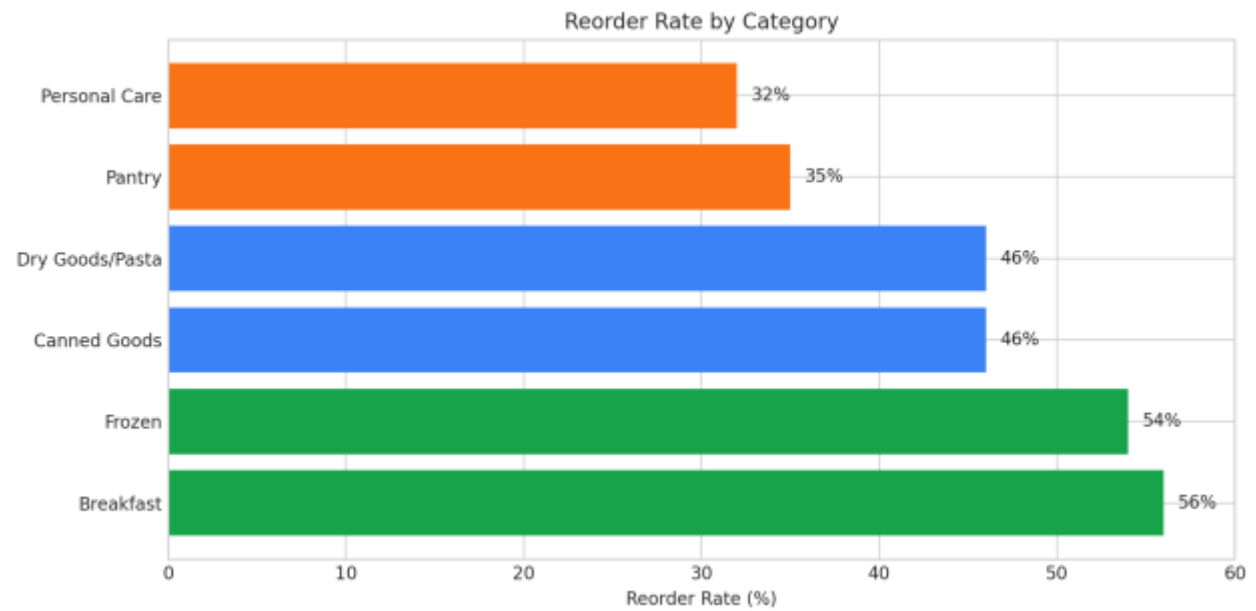
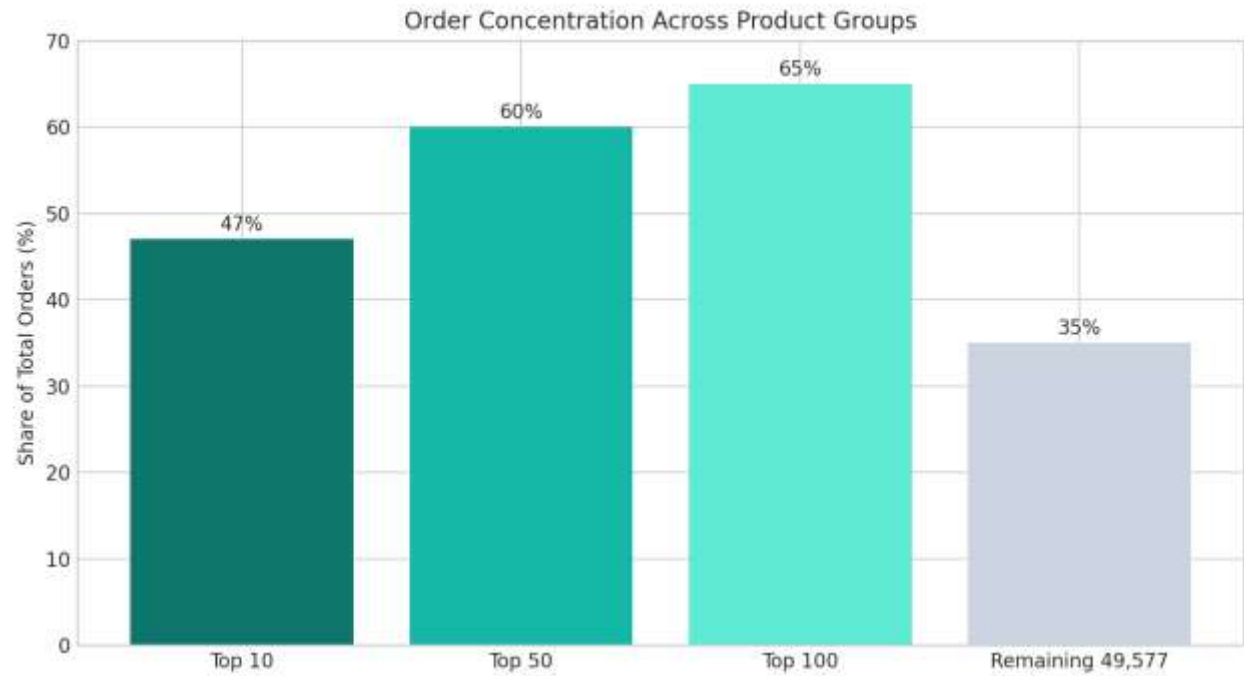
Product Tier	% of Catalog	% of Orders
Top 10 products	0.02%	47%
Top 100 products	0.2%	65%
Bottom 49,577	99.8%	35%

Translation: A tiny handful of products, mostly fresh produce, drives nearly half of all revenue. Everything else is noise.

Action: Consolidate from 49,677 → 15,000 SKUs.

Impact: ₹8–12 Cr annual savings.







Finding 2: Dead inventory is a silent cost

Order Volume	Number of Products
Exactly 1 order	1,098
2–5 orders	8,234
6–10 orders	6,892
11–20 orders	8,450
Total <20 orders	24,674 (50% of catalog)

Translation: Half the catalog has virtually no demand. Each dead SKU costs money in storage, system maintenance, and labor.

Examples of dead stock:

- "Escapes Variety Pack" – 1 order
- "Hennepin Farmhouse Ale" – 1 order
- "Brut Prosecco" – 1 order

Action: Implement a dead stock protocol auto delist products with fewer than 20 orders in 6 months.

Impact: ₹3–5 Cr annual waste eliminated.

Finding 3: Customer segmentation reveals a retention gap

Segment	Customers	%	Risk Level
Loyal (3+ orders)	101,696	49.3%	Low
Regular (2 orders)	80,527	39.1%	Medium
Occasional (1 order)	23,986	11.6%	High

Translation: 50% of the customer base is not yet loyal. About 24,000 customers tried Fresh Mart once and never returned. No retention program exists.

Action: Launch a tiered loyalty program plus win back campaigns.

Impact: ₹50–70 Cr annual revenue lift.

Finding 4: Demand is highly uneven operations are not

Day	Orders	vs. Wednesday
Sunday	600,905	+38%
Wednesday	436,972	Baseline
Variance	164,000 orders	—

Translation: Sunday is a crisis; Wednesday is underutilized. Same staff every day creates waste and burnout.

Action: Dynamic pricing, off peak delivery incentives, and a flexible gig workforce.

Impact: ₹25–35 Cr annual labor savings.

Finding 5: Basket size is suboptimal

Metric	Current	Potential
Basket size (items/order)	10.08	12–15
Top product pair	Banana + Avocado	62,341 co purchases

Translation: Customers buy what they remember, not what works together. A simple recommendation engine would lift basket size meaningfully.

Action: Deploy “frequently bought together” at checkout plus bundle discounts.

Impact: ₹30–40 Cr annual revenue.

Finding 6: Category loyalty varies but pricing doesn't

Category	Reorder Rate	Current Margin	Recommended Margin
Breakfast	56%	15%	20%
Frozen	54%	15%	20%
Canned Goods	46%	15%	15%
Pantry	35%	15%	12%
Personal Care	32%	15%	12%

Translation: Essentials such as breakfast and frozen are sticky, while pantry and personal care are more price sensitive. Uniform pricing leaves money on the table.

Action: Tier margins by reorder rate.

Impact: ₹5–8 Cr additional profit.

4. Problems Identified

Problem	Severity	Annual Impact
Inventory bloat – 50% of SKUs are low performers	Critical	₹8–12 Cr waste
No customer retention strategy	Critical	₹50–70 Cr lost
Dead stock not identified or removed	High	₹3–5 Cr waste
Demand variance unaddressed (Sunday +38%)	High	₹25–35 Cr waste
No cross sell / recommendation engine	Medium	₹30–40 Cr missed
One size fits all pricing	Medium	₹5–8 Cr missed

5. Opportunities & Recommendations

Opportunity 1: Portfolio Consolidation → ₹8–12 Cr savings

Actions:

- Remove all products with fewer than 20 orders in 6 months.
- Keep 200 niche items as “specialty.”
- Consolidate from 49,677 → 15,000 SKUs.

Timeline: 60 days

Investment: ₹50 L

Opportunity 2: Customer Loyalty Program → ₹50–70 Cr revenue

Actions:

- Create tiered loyalty (Gold/Silver/Bronze) based on purchase history.

- Launch a win back campaign for 24K occasional customers.
- Personalize email by segment.

Timeline: 90 days

Investment: ₹1–2 Cr

Opportunity 3: Recommendation Engine → ₹30–40 Cr revenue

Actions:

- Show “frequently bought together” at checkout, for example Banana → Avocado.
- Offer bundle discounts, for example 25% off when buying a recommended pair.

Timeline: 90 days

Investment: ₹40–50 L

Opportunity 4: Demand Smoothing → ₹25–35 Cr savings

Actions:

- Use dynamic pricing: Sunday premium, midweek discount.
- Promote off peak delivery slots through lower fees or free delivery.
- Add a flexible gig workforce for peak days.

Timeline: 60 days

Investment: ₹50–80 L

Opportunity 5: Margin Optimization → ₹5–8 Cr profit

Actions:

- Breakfast/Frozen: 15% → 20% margin.
- Pantry/Personal Care: 15% → 12% margin.

Timeline: 30 days

Investment: ₹0

6. Financial Summary

Category	Low Estimate	High Estimate
Cost Savings	₹38 Cr	₹55 Cr
Revenue Lift	₹100 Cr	₹140 Cr
Total Gross Impact	₹138 Cr	₹195 Cr
Investment	₹3.5 Cr	₹4.5 Cr
Net Year 1 Impact	₹135 Cr	₹192 Cr

ROI: 30–55x

Payback: 10–14 days

7. 90 Day Action Plan

Phase	Days	Focus	Owner
Foundation	1–30	SKU rationalization, customer segmentation, dynamic pricing test	Operations + Analytics
Growth	31–60	Loyalty launch, recommendation engine A/B test, margin changes	Marketing + Product
Scale	61–90	Full rollout, weekly KPIs, continuous optimization	Steering Committee

8. Risks & Mitigation

Risk	Likelihood	Mitigation
Supplier pushback on SKU cuts	High	Give 60 day notice and consolidate remaining volume
Price sensitivity on essentials	Medium	Phase increases, test small, revert if needed
Loyalty discount cannibalization	Medium	Cap rewards and use free delivery instead
Demand smoothing does not shift behavior	Medium	Test incentives and use gig workers for flexibility

9. Conclusion

Fresh Mart has reached a critical inflection point. The data is clear:

- **You are overcomplicated:** Half the catalog does not earn its keep.
- **You are under leveraging customers:** 50% of the base is not yet loyal.
- **You are operationally imbalanced:** Sunday costs more than it should.
- **You are leaving money on the table:** Basket size and category margins are suboptimal.

The solutions are **proven, low risk, and high return**. Every month of delay costs ₹10–15 Cr in lost opportunity.

Recommendation: Approve the 90 day execution plan. Assign a steering committee. Start Week 1.

10. Appendix: Key Metrics Summary

Metric	Value
Total Orders	3,421,083
Total Customers	206,209
Total SKUs	49,677
Reorder Rate	59%
Average Basket Size	10.08 items
Dead SKUs (<20 orders)	24,674 (50%)
Loyal Customers	49.3%
Sunday Peak Premium	+38% vs Wednesday